

Asset-enabled IDP – GEM LOP

Discussion document template

February 2026

Contents

Introduction for CSTs

Sample LOP Template

Context for this document

The material presented in this document is meant to guide a discussion about **proposing an asset-enabled Independent Diligence Phase (IDP) to Global Energy & Materials (GEM) clients**

It provides a high-level conversation template with a proposed structure and content framing, enabling partners and teams to tailor the approach based on specific client contexts and priorities



What this document addresses...

- **Template of LOP for the asset-enabled IDP** allowing CSTs to quickly adapt to specific client situation
- **Suggestions for CSTs to structure the engagement** (e.g., timeline, team structure, deliverables)
- **Descriptions of potential analyses that can be conducted for the client**, with relevant support from specific McKinsey capabilities and teams



What this document does not address...

- **Insights from outside-in diagnostics** to shape client conversation
- **A detailed work plan of all activities** that need to take place end-to-end
- **A step-by-step guide for how to conduct each IDP analysis** incl. key questions to answer and example output for the analyses

How to use this document

Leverage this document for overall structure and quals

Adapt to specific client/CST context with the following:

- Leverage outside-in diagnostic output to enrich the context and provide initial insights/ingoing hypotheses
- Coordinate with diagnostics desk team/experts to include latest developments and insights from the B2B GM&S practice
- Adjust scope, activities, and example deliverables by selecting analyses that are most suitable for the client based on outside-in diagnostics and CST/ client context

Please consider this LOP template as a tool to **define overall structure and approach for your proposal**

Contents

Introduction for CSTs

Sample LOP Template

Table of contents

1	Setting the stage	7-12
	Introduces the client discussion by framing our perspective on the industry, and how we propose to begin	
2	Discovery phase: Uncovering the opportunity	13-17
	Outlines the scope and impact of the discovery project. Provides a view on commercial opportunity sizing and lever determination.	
3	How we will partner together	18-19
	Details how McKinsey will collaborate with the client, including proposed team structure, ways of working, and the unique strengths we bring as a partner	
4	Case studies	20-22
	Showcases relevant case examples of impact we have driven in similar settings	

① GEM players are confronting an increasingly more challenging environment



Gen AI adoption

A growing share of GEM players have significantly adopted **GenAI** for a variety of uses (e.g., task automation), signaling a new wave of AI-driven competitive advantage



Market dynamics

Cost inflation, startup disruption, sustainability-based regulatory hurdles, and geopolitical tensions are forcing GEM companies to manage compliance while pursuing growth



Seller efficiency

GEM companies are embedding **tech** into their processes to unleash **new possibilities for efficiency and growth** (e.g., seller productivity)



Net zero transition

GEM customers and regulators demand transparency and sustainability in sourcing and production processes mandating accelerated decarbonization efforts among GEM corporations



Supply chain resilience

GEM organizations covet robust supply chains built to withstand the frequent geopolitical tensions and global disruptions that constantly impact the space



Demand for talent

Shortage of skilled professionals and new skill/capability requirements (e.g., GenAI usage, sustainability compliance) are forcing companies to be serious about **up-/re-skilling at scale**

“Sales motions haven't changed, but there's more pressure than ever to get 3 things right: upgrade your talent, ensure rigor in processes, and leverage tech”

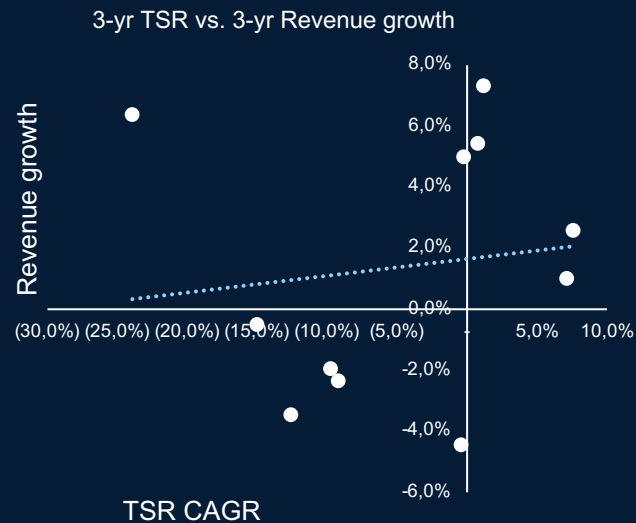
Former CCO,
F10 tech company

① Winners in GEM are outpacing peers in growth, and their shareholders are reaping the rewards

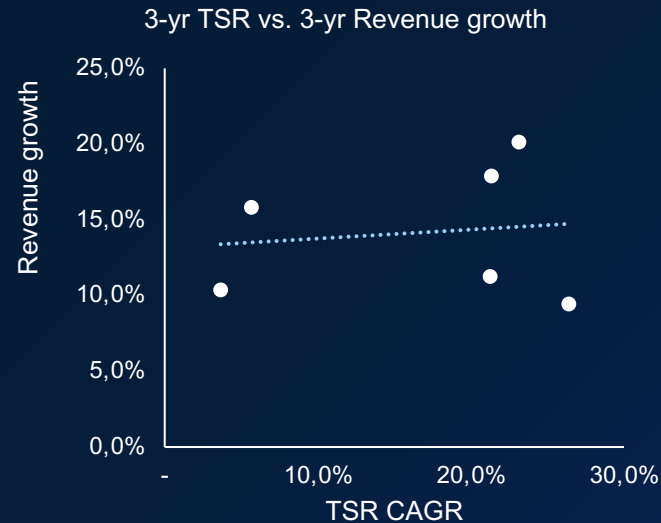
Growth comparison by subindustry within Global Energy and Materials

3-year Revenue and 3-year TSR growth amongst Top North American companies

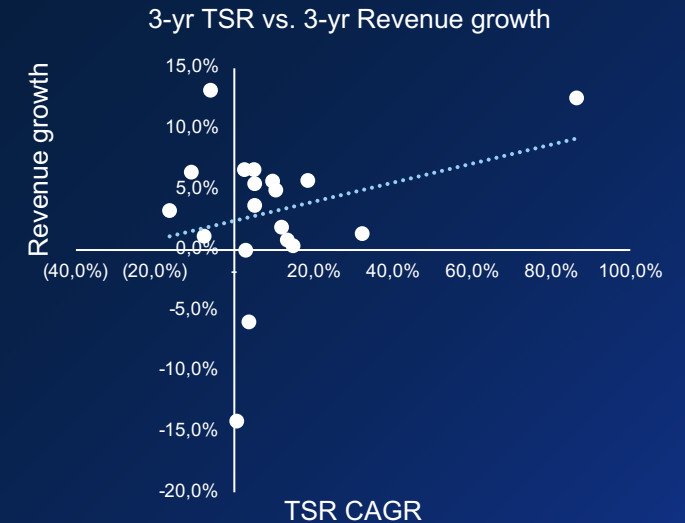
Chemicals¹



Oil & Gas²



Utilities³



Generally, winners in the GEM space have shown both high revenue and total shareholder's return growth, **illustrating how growth is attainable and vital for any company hoping to sustain long-term shareholder value creation**

Source: McKinsey Value Intelligence database. N includes North American companies with revenues greater than or equal to \$10B

1. Chemical "winners" include Ecolab, Celanese Corporation, Air Products & Chemicals, Sherwin-Williams, Corteva, and Westlake (Revenue growth rate > 1%)
2. Oil & Gas "winers" include Hess Corp., Diamondback Energy Inc., HF Sinclair, Enterprise Products Partners, World Kinect, & ONEOK (Revenue growth rate > 9%)
3. Utilities winners include NextEra Energy, Duke Energy, Southern Company, Vistra, FirstEnergy, Eversource, Constellation & PG&E (Revenue growth rate > 5%)

① McKinsey is well-positioned to help GEM clients grow, with a proven track record

A Experienced leadership

60+ Senior Advisors and External Advisors that bring a distinctive combination of next-gen growth expertise + deep sector experience

B Partnerships with leading technology and service providers

300+ third party collaborators to help accelerate your time to impact

C Sector specialist and proprietary benchmarks

Unrivaled insights into potential impact levers across industries, sectors and functions

D Strong analytics tailored to you

Exceptional data science team to evaluate value at stake based on your data

Our track record

~1,700+

Growth, Marketing & Sales focused engagements for AI clients in last five years

10-20%

Revenue growth: Revenue lift from salesforce effectiveness

5-10X

Agility: Improvement in sales KPIs via test & learn throughput

① We suggest starting with an 8-week discovery sprint to understand nuances unique to X client

For discussion – to be refined together

Deep-dive on deliverables follows



Is the value exciting? Do we have what we need to succeed? Are we ready to put in the right resources and leadership to drive this effort?

① In the discovery phase, we will estimate value at stake and identify areas of opportunity



Top-down sizing to estimate the full value at stake and prioritize commercial opportunities by potential impact and ease of capture



Identify sales reps pain points and challenges to contextualize areas for growth



Evaluate current commercial practices (*e.g., Sales reps time spent, sales support routines, sales coverage, pricing*) and **identify gaps to best practices/Benchmarks**



Develop and align with sales leadership on investment required (Opex, Capex, technology, resources, & capabilities) **to capture full potential**



Recommend a path forward and potential roadmaps/options

① We will use several assets and sources of insight to evaluate opportunities



Advanced Analytics

Assess transactions and sales rep data to identify key opportunities across churn, whitespace, cross-selling, pricing, etc.



Activity data & time spent

Assess how sellers' work including time spend, go-to-market approach and seller development



Sales distribution Benchmarks

Benchmark sales and marketing performance against our proprietary distribution KPIs to access efficiency, productivity, and cost, coverage



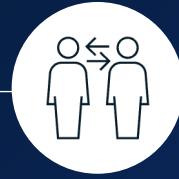
Former leader advisors

Bring expertise from former sales and commercial leaders at leading distribution companies to share expertise



Sales surveys

Implement our proprietary sales survey to assess commercial perceived strengths, pain points and opportunities



Ride-along/ interviews

Conduct brief interviews, and ride-alongs (if available) with sellers, managers etc.

McKinsey's proprietary assets will help drive deep insights and high impact opportunities

② The discovery phase provides a top-down opportunity sizing with prioritized levers and a roadmap to execution

Double-click to follow

1. Size the opportunity



2. Determine the levers to capture



3. Build the roadmap



Objectives

Understand the total commercial potential across growth and pricing levers

Identify high-potential accounts and pricing opportunities

Assess how to capture the identified opportunity using proven McKinsey tools

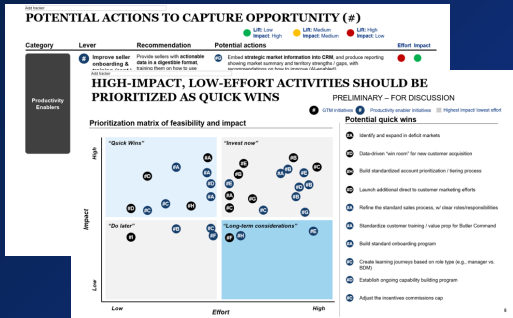
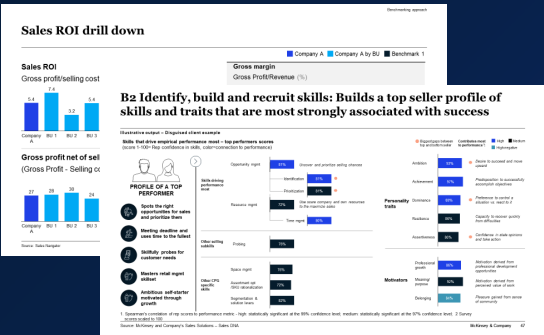
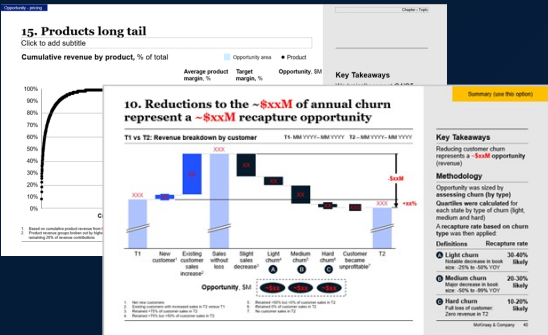
Identify highest-impact levers for measurable results

Prioritize levers and translate into clear, sequenced action plan

Unite leadership and equip the organization for sustained, measurable growth



Sample Outputs

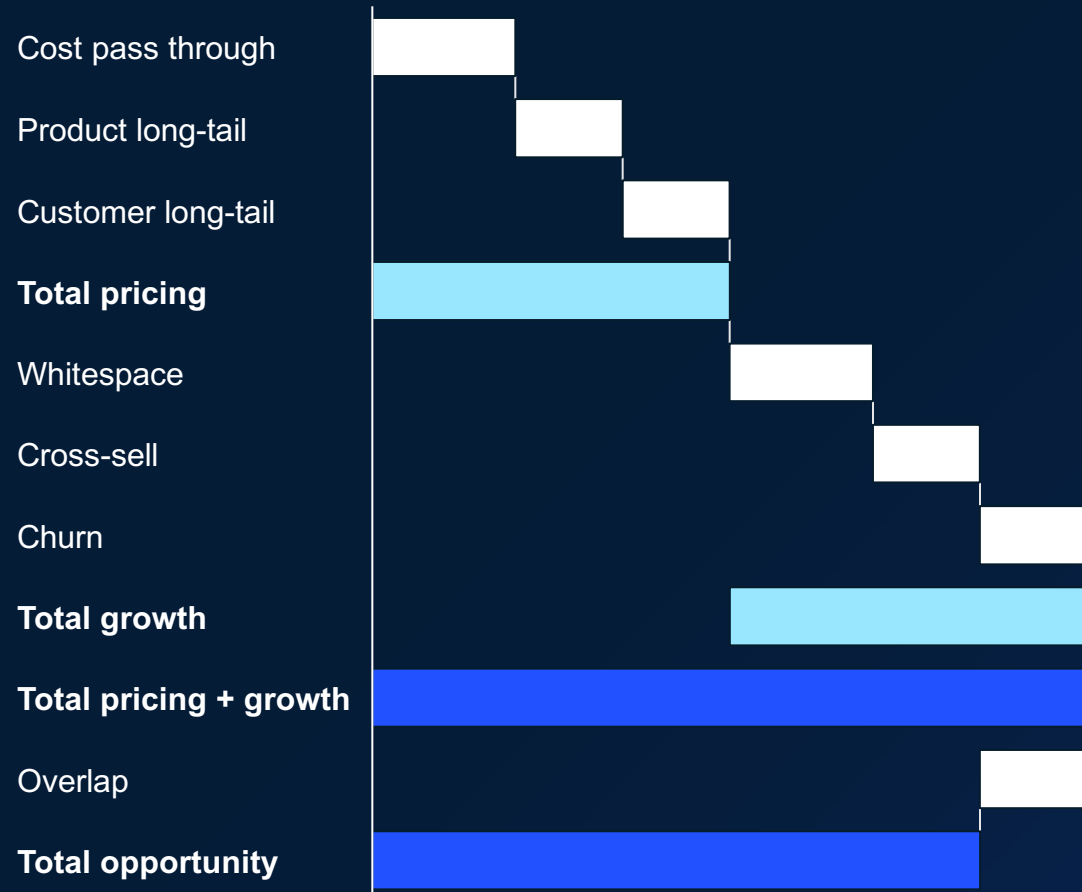


Bi-weekly steering committee meetings will be held throughout the process to maintain consistent progress syndication, thought partnership, and course correction between [Client] and McKinsey

② Size the opportunity: We use transaction data to quantify value across multiple levers

McK Asset enabled

We can provide opportunity at stake along a granular list of levers...



...and a standardized two step process enables rapid sizing with limited client support

① Obtain required data

- Opportunity sizing leverages historical transaction-level sales data, typically covering **24 months (minimum)** to **36 months (recommended)**
- Enables robust analysis with **limited client support** once data is provided

② Prepare data and perform standard cleaning

- Data is **standardized and tailored to client context** through a structured cleaning process, including:
 - Removing negative margins
 - Assigning consistent product and category hierarchies
 - Excluding negative sales, costs, and volumes
- Ensures a **clean, accurate foundation** for subsequent analyses

② Lever determination: Discovery phase will help guide which levers will be most impactful

McK Asset enabled

Not exhasutive

Transformation Dimension

Example Levers

★ Example follows

① Reach the right opportunities

- ★ Free up seller time to increase new customer hunting
 - Reallocate top sellers to highest-value accounts and accounts at risk of churning
 - Shift sales rep coverage toward underpenetrated segments and adjacencies

② With the right people & GTM model

- Redesign territories and coverage to match opportunity density
- Differentiate roles (hunters, farmers, specialists) to increase focus
- Implement performance transparency and raise the bar on rep productivity

③ With the right offer and perfect pitch

- Simplify and bundle the offer to increase deal size and win rate
- Equip sellers with selling playbooks and next-best-offer guidance
- Standardize sales messaging to sharpen value articulation

④ At the right price

- Reduce unnecessary discounting and enforce pricing guardrails
- Pass through cost increases systematically
- Increase prices on low-sensitivity / non-key value items

⑤ Every single time

- ★ Run regular surveys to sales leadership and reps to understand pain points
 - Align incentives to growth priorities (e.g., cross-sell, new customer hunting)
 - Build frontline coaching to sustain performance

② Lever determination: Example seller time and automation analysis

Many companies struggle to identify where to prioritize automation in the sales journey

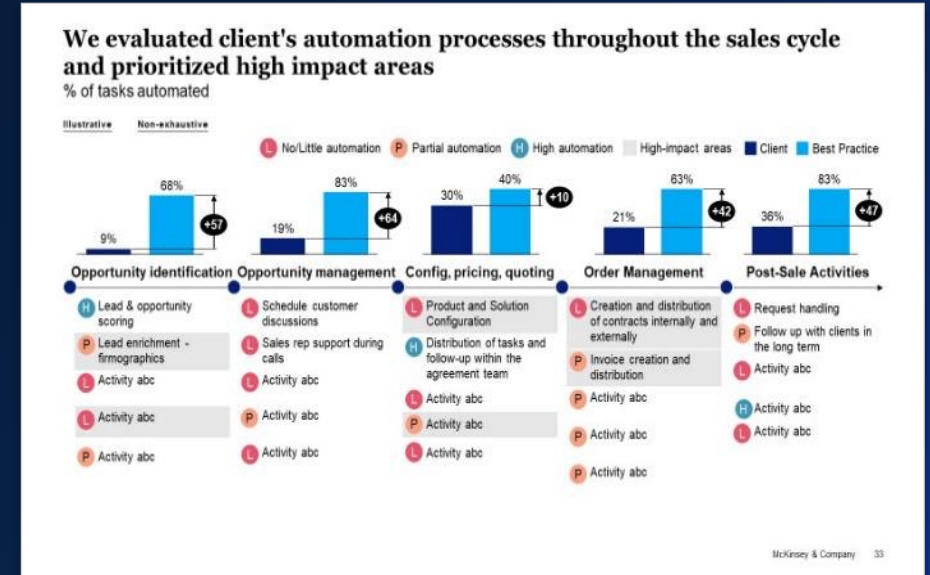
With new automation innovations, executives may find it hard to prioritize investments to improve opportunity win rate and customer experience while reducing deal cycle duration and sales costs to stay ahead of peers



Tools identifying automation opportunities based on data across the sales cycle can enhance seller productivity efficiently

Time & Automation Scan (TAS) helps free up sales time across **85+ sales tasks** by providing quantitative insights to support decision making:

- **Time allocation of sales teams:** locating sales team's time sinks
- **Automation heatmap:** identifying automation have/not have compared to best-in-class
- **Impact estimation:** measured by cost reduction or revenue growth
- **Initial L1 Initiative idea list:** of automations and task offloading
- **Description automations:** prioritizing 3-5 most promising
- In parallel, team will need to **estimate costs** of automation to build **ROI** case



TAS provides quantitative insights on levels of automation throughout the selling lifecycle by benchmarking against industry best practices and identifies areas of high-impact for investment

2 Lever determination: Example commercial capability assessment

Benchmarking commercial capabilities against industry standards can be time-consuming and difficult to make sense of

The pressures of day-to-day business often leave organizations in the dark on how they compare from a capability standpoint

Disjointed data and inconsistent definitions can make it challenging for leaders to identify priority capability improvements



With a clear view of how the organization compares to benchmarks, leaders can prioritize improvements, align on key initiatives, and translate insights into action

Commercial capabilities assessment (CCAT) helps assess commercial capabilities and enablers via a standard survey/interview of sales team members :

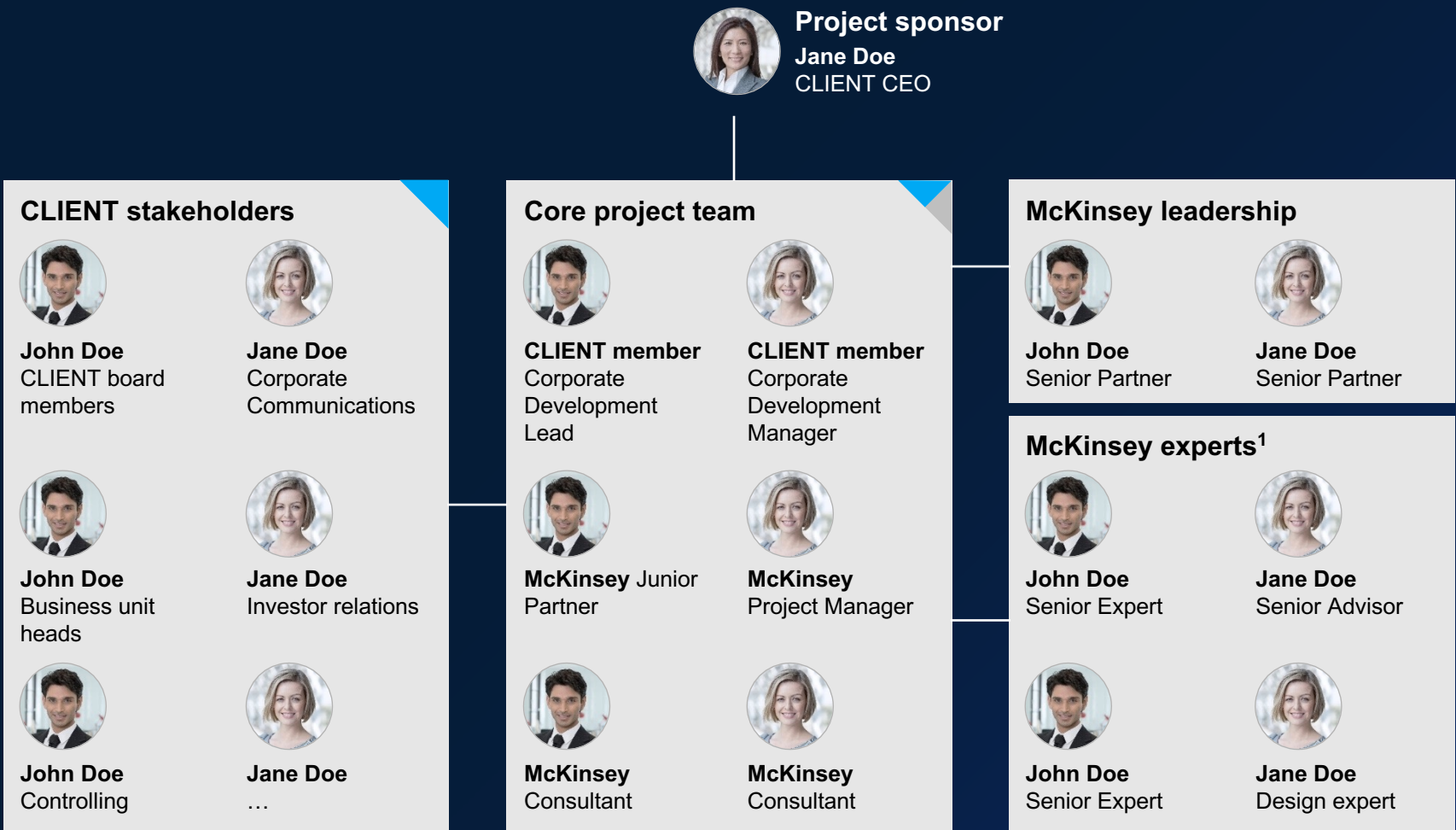
- **Holistic benchmark analysis:** providing a full-view of [Client] performance on 12 capabilities & enablers linked to commercial performance
- **Sub-capability deep-dive:** delving more specifically into each capability to further quantify areas of improvement
- **Culture survey:** quantifying how survey participants perceive company culture in comparison to the ideal



Sample commercial capability assessment outputs display [Client] marketing & sales capabilities against proven best practices from benchmark of 270+ companies

③ We will work as one team, collaborating closely throughout the project

CLIENT McKinsey



Working together to deliver results

We create a core team that integrates all input and drives analyses and day-to-day work

We will keep all your relevant stakeholders involved and aligned with monthly pitches and interim reviews

McKinsey experts will provide content support, outside-in examples, and any required guidance on specific analyses. We will also invite stakeholders to discuss insights at half-day workshops

We will provide regular progress updates and make critical decisions in review meetings with CLIENT and McKinsey leadership

1. Example; further experts added as required

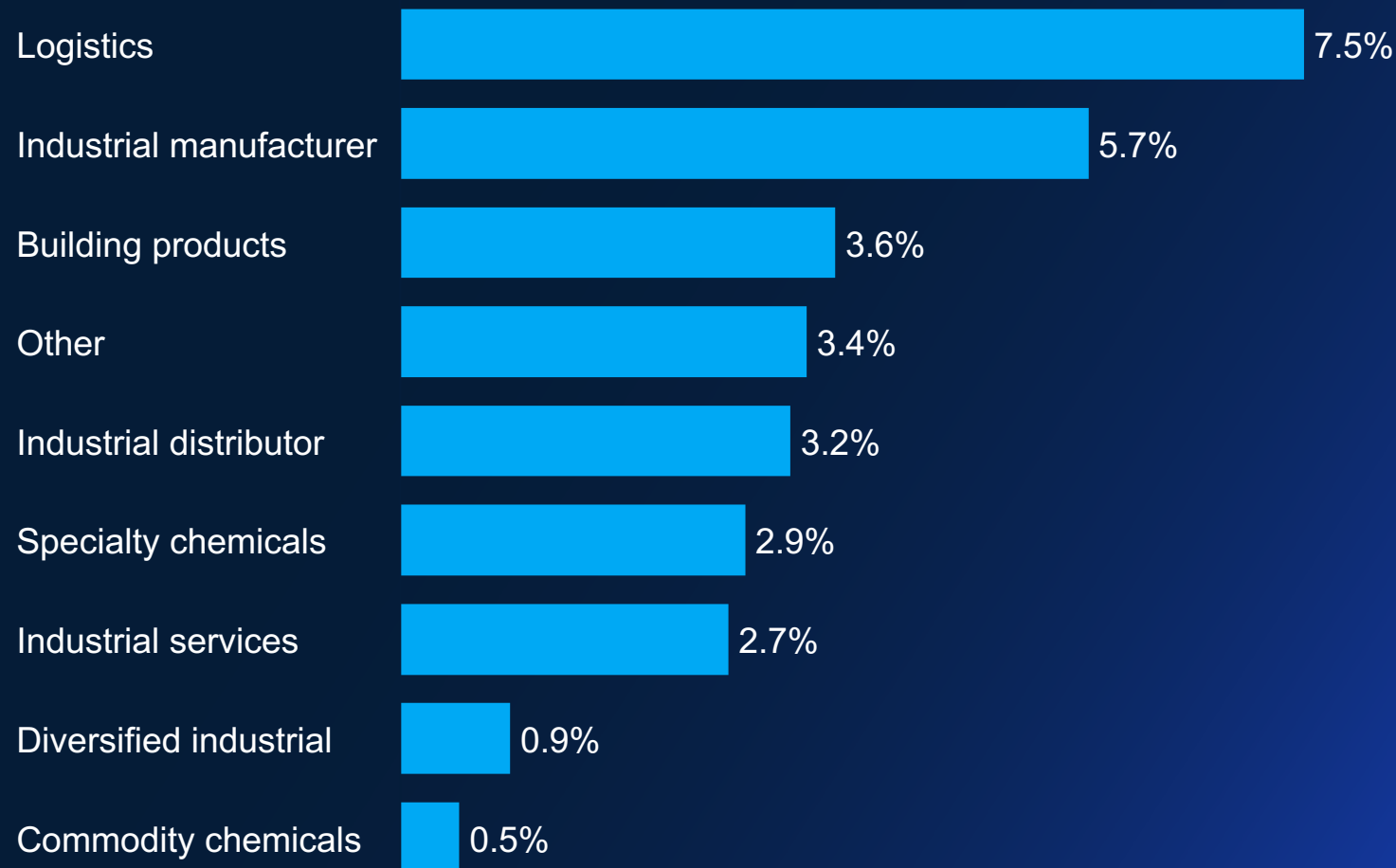
③ Closing perspective – why would you partner with us on an IDP?

Template

- 1 **We bring proven commercial expertise and proprietary assets** that quickly pinpoint the biggest growth opportunities and quantify where you outperform or lag peers
- 2 **Our asset-enabled IDP delivers rapid, data-driven insights** through benchmarks and analytics that highlight the value at stake across key commercial levers
- 3 **We tailor every diagnostic to your business reality** by flexing our approach to your data availability, market context, and commercial model
- 4 **We translate insights into clear, quantified opportunity areas** that highlight where to focus next and the value at stake
- 5 **Our senior experts ensure objectivity and speed** by applying deep industry pattern recognition and staying hands-on through the diligence phase

This commercial playbook has driven material impact across industries and client situations

Bps, EBITDA impact from our similar commercial efforts (% of revenue)



4 Case Study: Building materials company

Impact: 4-5% ROS

In process (Impact initiatives launched, tracking results)

Context

- **A multi-billion revenue building materials manufacturer with global operations**, mix of product and service lines with complicated B2D2B go-to-market model
- Business performing well, but owners looking to unlock underserved market & differentiate offerings
- **Seeking to balance margin discipline with growth** and improve specific business unit with concerning outlook
- Agreed to optimize sales force to “best practices” **via asset-enabled IDP findings and strategy engagement**

?

GTM strategy: What changes to our product ladder and channel pricing will drive sustainable growth without eroding existing margins?

Example analysis/insights



Customer channel alignment: Set priorities for sales support and digital infrastructure to drive customer experience



Talent priorities: Developed specific talent agenda for frontline sales and new role definition for sales managers



GTM model design: Prepared for strategic expansion into new products and geographies



Capability agenda: Identified most beneficial sales capabilities given unsustainably strong performance



Performance goals: Reinforced customer centricity to sustain market leading financial performance

4 Case Study: Specialty chemicals and advanced materials company

Impact: 2-3% ROS

Context

- The CST was conducting an org design study for a ~\$1B specialty chemicals company
- The team aimed to add quick commercial wins to present to the executive team in addition to org design work
- Following initial commercial sizing, the client requested an interactive tool to explore 60+ opportunity cuts dynamically
- Extended analysis to sales and growth to model churn and cross-sell, quantifying total commercial opportunity

?

Pricing strategy: What opportunity is at stake to improve pricing at the client?

Example analysis/insights



Pricing opportunity: identify significant **margin opportunity** through targeted pricing analysis on customer and product longtail, margin variability, & non-KVI



Growth opportunity: Identified significant opportunity to grow revenue by addressing churn and cross-sell



Unlocked senior-level engagement with CXO and Pricing Director to explore deeper diagnostic insights and technology enablement